Mauboussin examined three possibilities—historical growth rates, the economics of the business's industry, and the business model—but could not identify factors that helped us to predict persistently high returns on capital. He found some correlation between historical growth and persistence, but noted, "[t]he bad news about growth, especially for modelers, is it is extremely difficult to forecast:"[26]

While there is some evidence for sales persistence, the evidence for earnings growth persistence is scant. As some researchers recently summarized, "All in all, the evidence suggests that the odds of an investor successfully uncovering the next stellar growth stock are about the same as correctly calling coin tosses."

He also noted that two industries were overrepresented in the businesses that sustained high returns on invested capital over the period examined: the pharmaceuticals and biotechnology industry and the software industry, and commented that a good strategic position in a generally favorable industry was associated with sustainable high returns. Of course, this is difficult to determine prospectively, and was Graham's precise complaint:[27]

It is natural to assume that industries which have fared worse than the average are "unfavorably situated" and therefore to be avoided. The converse would be assumed, of course, for those with superior records. But this conclusion may often prove quite erroneous.

Finally, Mouboussin suggested that the business model adopted by a business was correlated with the sustainability of returns. This is perhaps the most useful and interesting variable considered by Mauboussin. He equates strategy expert Michael Porter's two sources of competitive advantage—*differentiation* and *low-cost production*—to return on invested capital by breaking it into its two prime components: *net operating profit after tax (NOPAT) margin* and *invested capital turnover*. (*NOPAT margin* equals NOPAT divided by sales, and *invested capital turnover* equals sales divided by invested capital. Return on invested capital is the product of *NOPAT margin* and *invested capital turnover*.) Mauboussin found that differentiated businesses with a consumer advantage—those that generated high returns via high NOPAT margins, rather than high invested capital turnover—were overrepresented in the businesses that sustained high return on capital over the period examined. He gives as an example of such a business the "successful jewelry store that generates large profits per unit sold (high margins) but doesn't sell in large volume (low turnover)." Another example is See's Candies, which takes commodity inputs—sugar, cocoa, and